

The influx of money can occur because you lost a loved one, received an insurance claim from a natural disaster, or because of some other tragedy. Therefore, there are always heightened emotions and sometimes unclear thinking that surround this newfound money. The best way to avoid making any rash decisions, which could turn out to be disastrous, is to do nothing for thirty to sixty days. Pretend the money is not even there until you can think clearly and plan rationally. A carefully crafted budget and a plan are absolutely critical.

At the same time, most people are not prepared to suddenly receive a large sum of money and they do not handle it well. In many cases, more harm than good will result if the recipient is ill advised or not advised at all. This possibility should be acknowledged by the person thinking about gifting a large sum of money. For example, putting inheritances in a trust fund that restricts withdrawals is a way to ensure the money lasts for an extended period.

This chapter has given you some suggestions as to how you can hold onto your windfalls. You should remember to:

- Avoid spending sprees.
- Identify a trusted, qualified financial advisor.
- Develop a long-term financial plan.
- Do research.
- Do not put all your eggs in one basket.
- Resist spending the maximum that is available.
- Steer clear of risky investments.

